

Meaning

- All organisations whether it is govt., a Pvt. Business or small businessman requires planning.
- Planning can be defined as "Thinking in advance what is to be done, when it is to be done, how it is to be done and by whom it should be done."
- * Planning bridges the gap b/w where we standing today and where we want to reach.

Features / characteristics of Planning

- Planning contributes to objectives → Planning starts with the determination of objectives. we can not think of planning in absence of objective. After setting up objective planning decides the method, procedures and steps to achieve the organisational objective.
- Planning is a Primary function of Management ÷
 - It is the 1st function to be performed by every manager. No other functions will be started without planning.
- Pervasive → It is required at every levels of the management. It is not a function restricted to top level of managers only but planning is done by managers at every level. Formation of major plan and framing of overall policies is the task of top level management.

(iv) Planning is futuristic $\Rightarrow$ Planning always means looking ahead. Planning never done for the past. All managers try to make assumptions for future on the basis of past experience of managers. Managers are plan for future.

(v) Planning is continuous $\rightarrow$ Planning is a never ending or continuous process. Because after making plans are also one has to be in touch with the changes in environment & make further plan accordingly.

Importance of Planning

(i) Planning provides direction $\rightarrow$ It is concerned with pre-determined cause of action. It provides the direction to the efforts of employees. Planning makes clear what employees have to do, what to do. Employees know in advance in which direction they have to work. If there was no planning employees will not be working in different directions and organisation would not be able to achieve its classified goal.
or desired.

(ii) Planning reduces the risk of uncertainties $\rightarrow$ Organisation have to face many uncertainties and unexpected situations every year. Planning helps the managers to face the uncertainty because planners try to foresee the future by some assumption regarding future keeping in mind their past experience and scanning of business environments. The plans are made to observe overcome such uncertainties eg. provision for doubtful debt.

iii) Planning promotes innovative ideas $\rightarrow$ Planning requires high thinking process. So, there is a great scope of finding better ideas, better methods and procedures to perform a particular job. Planning process forces managers to think differently and assume the future conditions. So, it makes the manager innovative & creative.

* (iv) Planning establish standard for controlling $\rightarrow$ controlling means comparison b/w planned & actual output and there is variation b/w both then find out the reason for such deviations and think measures to match the actual output with planned. But in case there is no planned output then controlling manager will have no base to compare whether the actual output is adequate or not. So, planning is the base for not only controlling. Planning is needed to initiate every function and base comparison in controlling is given by planning function only.

Limitation of Planning

(i) Lack of accuracy $\rightarrow$ In planning we are always thinking in advance and it is concerned with future only and future is uncertain in planning various assumptions are made but these are not 100% correct.

(ii) It may not work in dynamic environment $\rightarrow$ Business environment is very dynamic as there are continuously changes take place in economic, political & legal environment. It is very difficult to forecast these future changes.

(iii) It **Reduces** creativity → with the **planning** the **managers** of the **organisation** **start** **working** **rigidly** and **they** **become** the **blind** **followers** of the **plan** **only**, so **managers** **do** **not** **think** **initiative**.

(iv) It **Involves** huge cost → **Planning** **process** **involves** **lot** of **cost** because it is an **intellectual** **process**. **Companies** **need** to **hire** the **professional** **experts** to **carry** **on** **this** **process**. **Along** **with** **salary** **these** **experts** the **company** **has** to **spend** **lot** of **time** & **money** to **collect** **accurate** **facts** & **figures**. So it is **cost-consuming** **process**.

(v) It is a **Time** consuming process → **Planning** **process** is a **time** **consuming** **process**. Because **it** **takes** **long** **time** to **evaluate** the **alternatives** and **select** the **best** **one**. **Lot** of **time** is **needed** in **developing** **planning** **premises**. So **because** of **this** the **actions** **get** **delayed**.

(vi) Planning does not guarantee **Success** → **Sometimes** **managers** **have** **false** **sense** of **security** that **plans** **have** **worked** **successfully** **in** **past**. So, **there** **will** **be** **working** **in** **future** **also**. **Planning** **only** **provides** a **base** for **analysing** **future**. It is **not** a **solution** for **future** **course** of **action**.

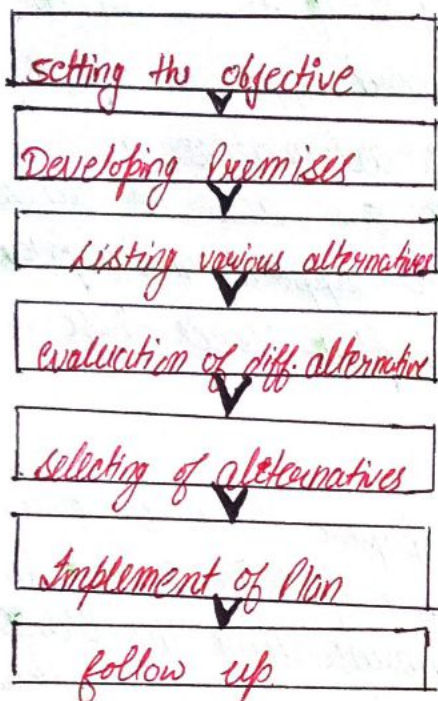
→ **External** **limitations** of **planning** →

- (1) change in **competitors** **policies**
- (2) change in **taste** & **preference**
- (3) change in **technology**
- (4) change in **govt** **economic** **policy**
- (5) **National** **clarity**.

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Planning Process

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Important

(i) setting up of the objective → In planning function managers begins with setting up of objectives because all the policies, procedures and methods are planned for achieving objectives only by keeping in mind the goals of the company and the resources of the company.

(ii) Developing premises → Premises refers to making assumptions regarding future. Premises are base on which plans are made. Many forecast are made to find out the demand for a product change in environment, govt. or competitors policy, tax rate etc. ...

(iii) Listing the various alternatives → After setting up of objectives the managers make a list of alternative through which the organisation can achieve its objectives. managers must know all the ways to reach the objectives. So, managers list out all the alternatives.

(iv) Evaluation of various alternative → After making the list of various alternatives along with the assumptions, the managers starts evaluating each & every alternative and note down the positive & negative aspects of every alternative managers makes a list of positive aspect and negative aspect of every alternative.

(v) Selecting of various alternative → The best alternative is to be selected which have more positive aspect & less negative aspects. Managers try to eliminate those alternative which have more negative aspects. Some time instead of selecting one alternative, a combination of different alternative can also be selected. Managers make no. of small plan to support main plan. These are derived from the major plan. Hence these are called Derivative plans.

(vi) Implement the plan → Plans are made on the paper there is no use of these plans unless and untill these are put in action. For implement the plan. Managers start communicating the plans to all the employees very clearly because the employees actually have to carry on the activities according to specification of plans. After communicating managers starts allocating the resources according to plan.

(vii) Follow-up → Planning is a continuous process so, the manager's job does not get over simply by putting the plan into action. The managers monitor the plan carefully while it is implemented. During following the plan. Many changes are made & many adjustment are made.

* Single use plan

⇒ Single use plans are one time use plan. These are designed to achieve a particular goal that once achieved will not reoccur in future. These are made to meet needs of ~~unique~~ unique situations.

- Features of single use plan

- 1) Single use plans are used only once
- 2) Prepared to meet the demand of specific situation.
- 3) These are discarded when situation is over.
- 4) Every time a new plan is prepared for new situation.

- Types of single use plan -

- 1) Programme → A programme is single use plan containing detailed statements about project outlining the objectives, policies, procedures, rules, tasks, physical and human resources required to implement the only course of action.
- 2) Budget → A budget is a statement of expected result expressed in numerical terms for a definite period of time in the future.

- Standing Plans

- These are also known as Repeat use plan. These plan focus on situations which occur repeatedly. These are used over and over again.

Types of standing Plans

- 1) Policy
- 2) Procedure
- 3) Rule
- 4) Method.